

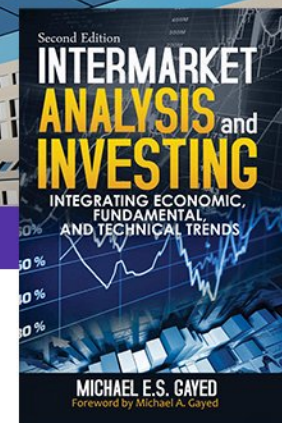
Bet on yourself when
no one else will.
After all, the payout is
higher that way.



NAAIM Founders
Award Winner



Dow Award Winner
CMT Association



Crashes and Melt-Ups

TOOLS TO MANAGE HISTORIC VOLATILITY



Michael A. Gayed, CFA
[@leadlagreport](https://twitter.com/leadlagreport)

Who Am I?

A little bit of context

Portfolio Manager at Toroso Investments

2x Dow Award + 2x NAAIM Award Winner

Publisher of The Lead-Lag Report

Formerly wrote for Marketwatch.com, Marc Faber of the Gloom, Boom, and Doom Report, and several other market research outlets

For more information, contact me at michaelgayed@leadlagreport.com

BUT ENOUGH ABOUT ME...



History Rhymes

In Loving Memory



Michael A. Gayed, CFA  @leadlagreport · Mar 12

"After the initial stampede, bull markets proceed slowly. Bear markets, on the other hand, are swift and precipitous. They tend to be short but vicious. What a bull market has gained in a few years can be wiped out in a few days." - Michael E.S. Gayed (my father) [#inlovingmemory](#)



11

51

215



Why Are We Here?

A Look at Signals and Strategies

An Intermarket Approach to Beta Rotation **The Strategy, Signal and Power of Utilities**

By Michael A. Gayed, CFA and Charles V. Bilello, CMT

2014 Charles H. Dow Award Winner

Abstract: It is often said by proponents of the Efficient Market Hypothesis that no strategy can consistently outperform a simple buy and hold investment in broad stock averages over time. However, using a strategy based on the principles of intermarket analysis, we find that this assertion is not entirely accurate. The Utilities sector has many unique characteristics relative to other sectors of the broader stock market, including its higher yield, lower beta, and relative insensitivity to cyclical behavior. Our analysis suggests that rolling outperformance in the sector is not only exploitable, but also provides important signals about market volatility, seasonality, and extreme market movement. We explore historical price behavior and create a simple buy and rotate strategy that is continuously exposed to equities, positioning into either the broad market or the Utilities sector based on lead-lag dynamics. Absolute performance and risk adjusted returns for this beta rotation approach significantly outperform a buy and hold strategy of the market and of the Utilities sector throughout multiple market cycles.

Why Are We Here?

A Look at Signals and Strategies

Seeking Alpha^α

The Lead-Lag Report | MP Best Practices

Help & Support ▾



The Lead-Lag Report

by Michael A. Gayed, CFA

Launch Chat

Latest

Getting Started

Tools ▾

January 27, 2020 - Weekly Risk Signals

Jan. 27, 2020 10:35 AM ET • IWM, SPHB, SPY • [Comment!](#)

Summary

- It appears now with hindsight that Utilities may have been anticipating the current fear over the Coronavirus.
- Utilities relative to the broader stock market spiked, but interestingly the Lumber/Gold ratio has held.
- I think a more neutral stance subjectively makes sense, while short-term traders might want to be cautious about being overly bearish here.

Short-Term:

Indicator: Utilities/Stocks – Risk-Off

Beta Rotation Strategy: Utilities ([XLU](#))

Why Are We Here?

A Look at Signals and Strategies

Today's Market | Market Outlook

We May Be In A Crash, And Here's Why

Feb. 27, 2020 11:12 AM ET | [893 comments](#) | [207 Likes](#) | Includes: [DDM](#), [DIA](#), [DOG](#), [DXD](#), [EEH](#), [EPS](#), [EQL](#), [FE...](#)



Michael A. Gayed, CFA [Marketplace](#)

The Lead-Lag Report

Anticipate Corrections and Volatility with Award Winning Research



Summary

- This has been an ugly week, but indicators suggest it may get a lot uglier.
- A crash isn't about percentage - it's about time.
- We may be at a juncture that undoes nearly all of last year's gains.

“ All truth passes through three stages. First, it is ridiculed. Second, it is violently opposed. Third, it is accepted as being self-evident. - Arthur Schopenhauer

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Today's Market | Market Outlook

Stop Watching Stocks: High-Yield Bonds Are The Worry

Mar. 9, 2020 1:37 PM ET | [6 comments](#) | 35 Likes | Includes: IEZ, JNK, SPY, TLT



Michael A. Gayed, CFA [Marketplace](#)

The Lead-Lag Report

Anticipate Corrections and Volatility with Award Winning Research



Summary

- While the move in stocks has been shocking, the real concern is the junk debt market.
- Spreads are blowing out, and it's more than Coronavirus.
- There may be an opportunity to position here, but we need to see credit spreads narrow.

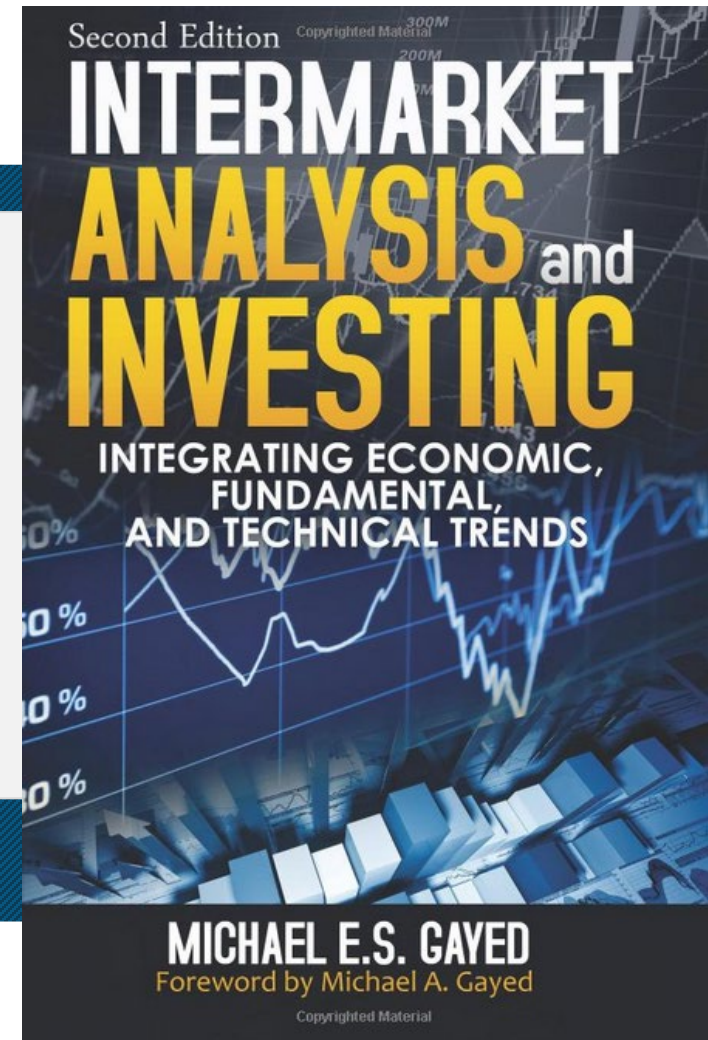
"Worry is a cycle of inefficient thoughts whirling around a center of fear." -
Corrie Ten Boom

INTRODUCTION

DEFINING Intermarket Analysis

- Branch of technical analysis
- Study of asset class and sector relationships
- Relative movement across and within markets can be predictive of on-coming booms, busts, volatility, and economic changes

Who cares? Markets crashed!



PART I

THE WARNING SIGNS OF A CRASH

BETA ROTATION

Power of Utilities sector



One of the best early predictors of the stock market (Edson Gould)



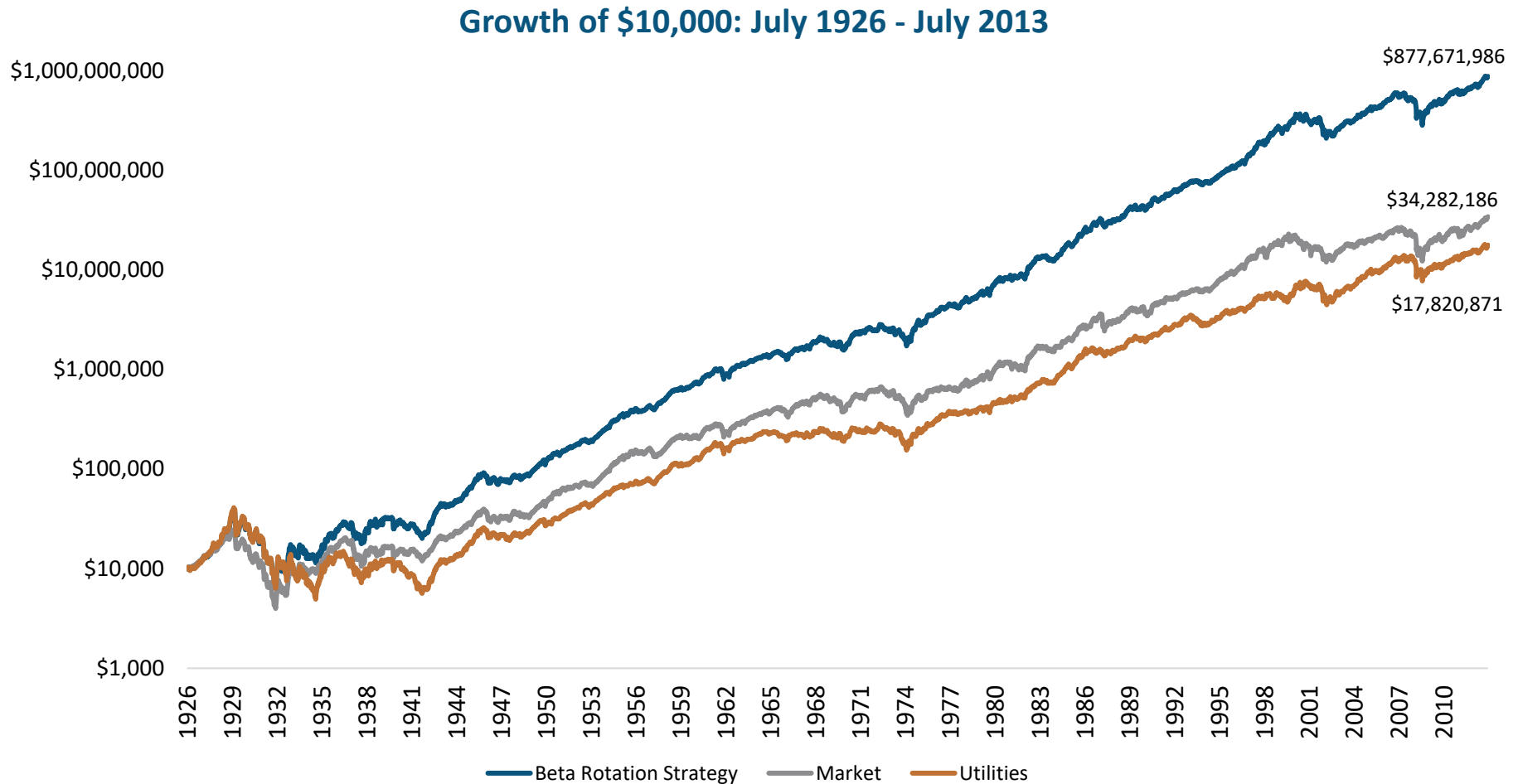
Why? Highly sensitive to interest rate expectations and economic fluctuations

Backtesting to 1926, a simple strategy of rotating either fully into Utilities or fully into the stock market based on rolling 4 week return significantly outperforms a buy and hold of both

A look at theoretical performance...

BETA ROTATION

A simple buy and rotate approach



BETA ROTATION

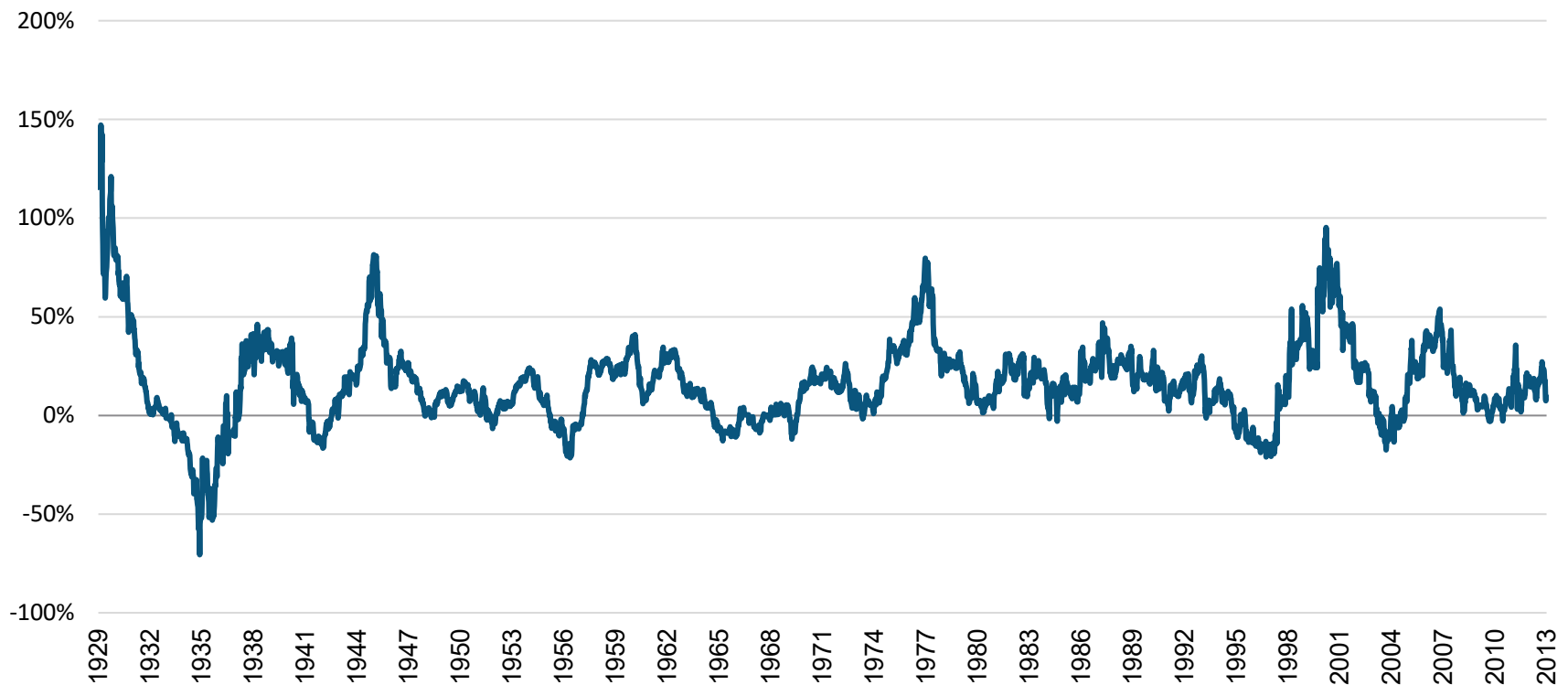
A simple buy and rotate approach

Annualized Returns by Decade					
Time Period	BRS	Market	Utilities	Outperformance vs. Market	# Weeks
July 1926-1929	26.6%	15.3%	28.3%	11.3%	178
1930-1939	3.7%	0.1%	-6.4%	3.6%	521
1940-1949	12.6%	9.6%	8.8%	3.0%	522
1950-1959	19.9%	18.0%	14.8%	1.9%	521
1960-1969	10.3%	8.4%	6.5%	2.0%	522
1970-1979	12.9%	6.0%	6.9%	6.9%	522
1980-1989	22.4%	16.7%	18.1%	5.7%	522
1990-1999	19.8%	17.9%	8.6%	1.9%	522
2000-2009	6.0%	-0.3%	8.6%	6.3%	521
2010-July 2013	17.3%	14.9%	13.2%	2.4%	187
All Years	13.9%	9.8%	9.0%	4.2%	4538

BETA ROTATION

A simple buy and rotate approach

Rolling 3-Year Outperformance
(Beta Rotation Strategy - Market)



BETA ROTATION

A simple buy and rotate approach

Annualized Return Divided by Annualized Volatility			
Time Period	BRS	Market	BRS-Market
1926-1929	1.16	0.84	0.32
1930-1939	0.11	0.00	0.11
1940-1949	0.36	0.28	0.09
1950-1959	2.39	1.79	0.60
1960-1969	1.05	0.75	0.30
1970-1979	0.89	0.37	0.52
1980-1989	1.67	1.07	0.60
1990-1999	1.70	1.36	0.33
2000-2009	0.30	-0.02	0.32
2010-2013	1.19	0.88	0.31
All Years	0.80	0.56	0.24

► But that's not all...

BETA ROTATION

Violating Timing

Real strength of Utilities is as a signal on volatility

Table 5: Annualized Volatility

Time Period	Vol of Market when BRS is in Utilities	Vol of Market when BRS is in Market	Differential
July 1926 - 1935	26.1%	31.0%	-4.9%
1936-1962	14.6%	14.8%	-0.1%
1963-1978	16.4%	11.2%	5.2%
1979-1992	16.0%	13.7%	2.3%
1993 - July 2013	20.3%	15.1%	5.2%
1963 - July 2013	18.0%	13.6%	4.4%
1936 - July 2013	16.8%	14.0%	2.8%
All Years	18.1%	16.6%	1.5%

BETA ROTATION

Volatility timing

Tail event conditions ARE predictable

Utilities Strength vs. High VIX/VIX Spikes (Jan 1990 - July 2013)

Criteria	# Weeks	% of Time BRS in Utilities	% of Time in Utilities Overall	Differential
Top 1% of VIX Values (Above 49.3)	12	83.3%	48.5%	34.8%
Top 5% of VIX Values (Above 34.7)	61	58.1%	48.5%	9.6%
Top 10% of VIX Values (Above 29.3)	123	61.0%	48.5%	12.5%
Top 1% of VIX Weekly % Changes (>40.0%)	12	58.3%	48.5%	9.8%
Top 5% of VIX Weekly % Changes (>21.7%)	61	61.3%	48.5%	12.8%
Top 10% of VIX Weekly % Changes (>15.5%)	123	53.7%	48.5%	5.2%

But what about seasonality?

BETA ROTATION

Sell in May, Rotate Away?

Table 8: Sell in May and Rotate Away?

Time Period	Utilities	Market	BRS	% of Time in Utilities
Jan	1.4%	1.2%	1.9%	58.1%
Feb	0.0%	0.6%	0.8%	49.3%
Mar	0.4%	0.8%	1.0%	40.3%
Apr	1.0%	1.3%	1.5%	45.8%
May	0.4%	0.3%	0.4%	44.4%
Jun	1.6%	1.0%	1.4%	53.4%
Jul	0.9%	0.8%	1.2%	55.3%
Aug	1.0%	1.1%	1.4%	52.5%
Sep	-0.5%	-0.7%	0.0%	46.6%
Oct	0.6%	0.6%	0.9%	56.6%
Nov	0.6%	1.0%	1.2%	50.7%
Dec	1.9%	1.9%	1.7%	43.0%
Nov-Apr	5.5%	6.9%	8.4%	47.8%
May-Oct	4.0%	3.3%	5.3%	51.5%
Overall	9.7%	10.4%	14.2%	49.7%

► But that's not all...

BETA ROTATION

Sell in May, Rotate Away?

Table 9: 10-Year Yield Monthly Seasonality (1962 - 2013)		
Month	Basis Point Change (Avg)	% With Rising Yields
Jan	2.9	57%
Feb	5.9	60%
Mar	4.4	62%
Apr	6.5	56%
May	-0.2	58%
Jun	-2.0	48%
Jul	1.6	46%
Aug	-3.8	50%
Sep	-5.6	46%
Oct	-4.7	46%
Nov	-6.6	46%
Dec	-0.4	46%
Grand Total	-0.2	52%
Period	Basis Point Change (Avg)	% With Rising Yields
Nov-Apr	12.7	54%
May-Oct	-14.7	49%

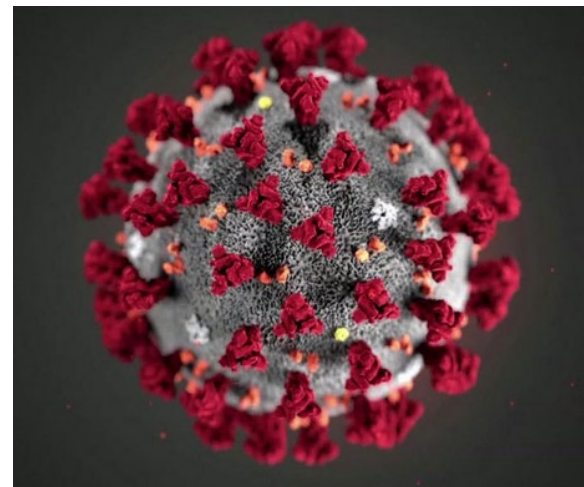
What Was Happening in January?

Coronavirus headlines start appearing

DEC. 31

Chinese authorities treated dozens of cases of pneumonia of unknown cause.

On Dec. 31, the [government in Wuhan, China, confirmed](#) that health authorities were treating dozens of cases. Days later, researchers in China [identified a new virus](#) that had infected dozens of people in Asia. At the time, there was no evidence that the virus was readily spread by humans. Health officials in China said they were monitoring it to prevent the outbreak from developing into something more severe.



JAN. 11

China reported its first death.

On Jan. 11, Chinese state media reported the [first known death](#) from an illness caused by the virus, which had infected dozens of people. The 61-year-old man who died was a regular customer at the market in Wuhan, where the illness is believed to have originated, and he had previously been found to have abdominal tumors and chronic liver disease. The report of his death came just before one of China's biggest holidays, when hundreds of millions of people travel across the country.

Source: [NYTimes.com](#) – [A Timeline of the Coronavirus](#)



What Was Happening in January?

Bull market looks set to continue – BUY BUY BUY!

JAN. 20

Other countries, including the United States, confirmed cases.

The first confirmed cases outside mainland China occurred in Japan, South Korea and Thailand, according to the World Health Organization's first [situation report](#). The first confirmed case in the United States came the next day in Washington State, where [a man in his 30s developed symptoms](#) after returning from a trip to Wuhan.

Source: NYTimes.com – A Timeline of the Coronavirus

Opinion: January gains point to strong 2020 for stocks — but don't get too excited

Published: Jan. 21, 2020 at 8:19 p.m. ET

1. There will be no recession in 2020

Probably the biggest question on investors' minds is



What Was Happening in January?

Utilities consistently outperform since January 13



What Was Happening in January?

Utilities consistently outperform since January 13



PART II

THE MELT-UP TO COME

YOU'RE OUT OF YOUR MIND

WE ARE GOING TO COLLAPSE FURTHER!!!!!!!

Today's Market | Market Outlook

The Melt-Up In Stocks To Come

Mar. 6, 2020 11:52 AM ET | 530 comments | 150 Likes | Includes: DDM, DIA, DOG, DXD, EEH, EEM, EPS, EQL...



Michael A. Gayed, CFA [Marketplace](#)

[The Lead-Lag Report](#)

Anticipate Corrections and Volatility with Award Winning Research

Summary

- There's a set up in place for a major bottom to be placed sometime in the next two weeks.
- We could see a surprise melt-up after that with emerging markets leading the way.
- Treasuries at these yields could be the catalyst for a reflationary comeback just as Coronavirus headlines worsen.

“ All truth passes through three stages. First, it is ridiculed. Second, it is violently opposed. Third, it is accepted as being self-evident. - Arthur Schopenhauer

I suspect any potential risk-on signals might flip toward the end of March, even though headlines on the spread may be much worse then. Why do I say that? One of the indicators I track is the relative behavior of utilities. As shown in a 2014 [paper](#) I co-authored and track in the Lead-Lag Report, utilities tend to outperform the stock market on a short-term basis before a major volatility spike is likely to happen. The opposite also is true. When utilities begin to underperform (especially in the midst of a broader stock market decline), a bottom is likely close and volatility is likely to drop. I believe the spike we are seeing in utilities outperformance may be a near-term top.



Why Are We Here?

A Look at Signals and Strategies



CONCLUSION

The Conditions For A Crash, And Melt-Up

Most VIX spikes, corrections, and crashes are preceded by strength in Utilities.

Alpha does not come from being up more, but down less.

We are nearing an inflection point where a surprise move higher could occur.



Michael A. Gayed, CFA

@leadlagreport

Opportunity always exists when the crowd thinks it knows an unknowable future.

4:49 PM - 19 Mar 2020

9 Retweets 54 Likes



2



9



54



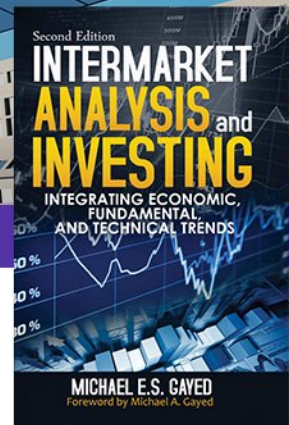
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Award Winner



Dow Award Winner
CMT Association



QUESTIONS?

THANK YOU FOR LISTENING

Happy to answer any questions you may have